

STATE OF NEW YORK

8527--B

Cal. No. 763

2025-2026 Regular Sessions

IN SENATE

October 15, 2025

Introduced by Sen. KAVANAGH -- read twice and ordered printed, and when printed to be committed to the Committee on Rules -- recommitted to the Committee on Local Government in accordance with Senate Rule 6, sec. 8 -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee -- reported favorably from said committee, ordered to first and second report, ordered to a third reading, amended and ordered reprinted, retaining its place in the order of third reading

AN ACT to amend the real property tax law, in relation to the clergy property tax exemption

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. Subdivisions 1 and 2 of section 460 of the real property
2 tax law, subdivision 1 as amended and subdivision 2 as added by chapter
3 261 of the laws of 1992 and subdivision 2 as further amended by subdivi-
4 sion (b) of section 1 of part W of chapter 56 of the laws of 2010, are
5 amended and a new subdivision 4 is added to read as follows:
6 (1) Real property owned by a minister of the gospel, priest or rabbi
7 of any denomination, an actual resident and inhabitant of this state,
8 who is engaged in the work assigned by the church or denomination of
9 which ~~[he or she]~~ such person is a member, or who is unable to perform
10 such work due to impaired health or is over seventy years of age, and
11 real property owned by ~~[his or her]~~ such person's unmarried surviving
12 spouse while an actual resident and inhabitant of this state, shall be
13 exempt from taxation to the extent of fifteen hundred dollars.
14 (2) An exemption may be granted pursuant to this section only upon
15 application by the owner or owners of the property on a form prescribed
16 or approved by the commissioner. The application shall be filed with the
17 assessor of the appropriate county, city, town or village on or before
18 the taxable status date of such county, city, town or village.

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

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1 (4) (a) Notwithstanding any provision of law to the contrary, the
2 governing board of a county, city, town or village may, after a public
3 hearing, adopt or amend a local law, ordinance or resolution to provide
4 the exemption authorized by this section to property owned or held in
5 the cooperative form of ownership; provided further, such local law,
6 ordinance or resolution may authorize such exemption to be granted
7 concurrently with benefits authorized pursuant to section four hundred
8 sixty-seven-a of this article.

9 (b) For the purposes of this section, title to that portion of real
10 property owned by a cooperative apartment corporation in which a
11 tenant-stockholder of such corporation resides and which is represented
12 by their share or shares of stock in such corporation as determined by
13 its or their proportional relationship to the total outstanding stock of
14 the corporation, including that owned by the corporation, shall be
15 deemed to be vested in such tenant-stockholder.

16 (c) Provided that all other eligibility criteria of this section are
17 met, that proportion of the assessment of such real property owned by a
18 cooperative apartment corporation determined by the relationship of such
19 real property vested in such tenant-stockholder to such real property
20 owned by such cooperative apartment corporation in which such tenant-
21 stockholder resides shall be subject to exemption from taxation pursuant
22 to this section and any exemption so granted shall be credited by the
23 appropriate taxing authority against the assessed valuation of such real
24 property; provided the reduction in real property taxes realized thereby
25 shall be credited by the cooperative apartment corporation against the
26 amount of such taxes otherwise payable by or chargeable to such tenant-
27 stockholder.

28 § 2. Subdivision 2 of section 467-a of the real property tax law is
29 amended by adding a new paragraph (f-1) to read as follows:

30 (f-1) For purposes of this subdivision, a qualified property shall be
31 deemed not to be receiving complete or partial real property tax
32 exemption or tax abatement if the qualified property is, or certain
33 dwelling units therein are, receiving benefits pursuant to section four
34 hundred sixty of this article, where such benefits are authorized by a
35 local law adopted pursuant to subdivision four of such section and such
36 local law authorizes granting such benefits concurrently with the tax
37 abatement authorized pursuant to this section.

38 § 3. This act shall take effect immediately.